Internationalization and Performance

Topic Area Written Analysis, Module 2

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1. Major Findings

These four papers are usually read as four contributions to the internationalization–performance literature. Read together, they are better understood as one recurring diagnosis: at each stage, the field measured the wrong thing, or measured one thing while believing it had measured another.

Contractor, Kundu and Hsu (2003) confront a literature that had produced positive linear, negative linear, U-shaped and inverted-U findings for the same relationship. Their resolution is that the relationship is sigmoid, with three stages. Stage 1 is negative: the liability of foreignness, initial learning costs, and insufficient scale dominate. Stage 2 is positive: expansion benefits from scale, scope and learning outweigh those costs. Stage 3 turns negative again as the organisational cost and complexity of managing widely scattered operations accumulates. What makes the paper more than a fourth shape in the list is the explanation it offers for the other three. In their words, "the data may be capturing only part of an overall sigmoid function… Depending on which part of Figure 1 we examined, we can find linear (positive and negative), U-shaped, and inverted-U-shaped segments."

That sentence reframes a thirty-year disagreement as an artefact of sampling. The field was not disagreeing about firms. It was looking at different segments of one curve and reporting each as a finding about the whole.

Their sub-finding is equally consequential. Knowledge-based service firms, advertising, market research, securities, publishing, enter the suboptimal third stage more readily than capital-intensive ones such as airlines, hotels, construction and retail, because their fixed-asset exposure is lower and the cost of an additional market is easier to underwrite. And, as they put it, "few companies possess the managerial tools that would tell them when they have over-internationalized."

Mezias (2002) addresses a different measurement failure. The liability of foreignness was widely accepted and almost never isolated, because the standard dependent variables aggregate advantages and disadvantages into a single figure and transfer pricing between parent and subsidiary contaminates what remains. His move is to find an observable trace that does neither: US labour lawsuit judgments. His justification is worth quoting because it is a methodological argument, not an empirical one, "while most performance measures aggregate advantages and disadvantages, labor lawsuits only measure labor-related disadvantage. Also, income shifting or transfer pricing between parent and subsidiary do not affect this measure."

The design matches 486 British, German and Japanese subsidiaries in the United States against 486 US-owned firms in the same industries and cities, then tests within the foreign subsample whether staffing strategy, subsidiary autonomy, the number of affiliated US firms, and subsidiary age change exposure. The stakes are not trivial: employee plaintiffs prevailed in 78.9 percent of defamation cases, 70.0 percent of sexual discrimination and harassment cases, and 58.4 percent

of wrongful discharge cases, with average jury awards above $600,000 and legal fees averaging $100,000 to trial.

Ghemawat (2001) relocates the same problem into practice. Country portfolio analysis, the standard tool for ranking foreign market opportunities, reads GDP, consumer wealth, and propensity to consume. It therefore measures market size and is used as though it measured opportunity. Ghemawat's objection is that it "ignores the costs and risks of doing business in a new market. Most of those costs and risks result from barriers created by distance." His CAGE framework breaks distance into four kinds, cultural, administrative or political, geographic, and economic, and his central point is that firms routinely solve one and assume they have solved distance.

Star TV is the illustration. News Corporation paid roughly $825 million for it between 1993 and 1995 on the reasoning that satellite delivery defeated geographic distance and English-language programming defeated the rest. Losses of approximately $500 million followed across fiscal 1996 to 1999. Geographic distance was the only kind they had actually addressed.

Arregle and colleagues (2021) supply the most uncomfortable finding of the four. Reviewing 220 studies across three decades of family firm internationalization, they report that the literature "has offered varied and at times incompatible findings on how family ownership and management shape internationalization." They organise the field around seven themes that cut across most IB frameworks: scale or depth; scope or breadth; entry mode choice; location choice; the internationalization process; timing, pace and rhythm; and internationalization performance.

The seventh theme is Contractor's question, asked of a different population, eighteen years later, and it is still unresolved.

2. Importance and Contribution to International Business

The contribution these papers make jointly is larger than the sum of their individual claims.

They change the question a manager should be asking. If the relationship is sigmoid, "should we internationalize?" is malformed. The answerable question is "where on the curve are we, and what does the next increment cost from here?" Contractor makes the practical consequence explicit himself: few firms possess the tools to know when they have over-expanded. That is a contribution to practice, not only to theory, and it is unusual for a JIBS paper to be quite so direct about the gap.

They demonstrate that measurement choice is a theoretical act, not a technical one. Mezias is the clearest case. He does not improve the measurement of firm performance; he abandons it. The finding is available only because the measure was selected to isolate one construct rather than to summarise many. That is a design lesson that transfers well beyond the liability of foreignness.

They give the field a vocabulary for a difference it kept treating as noise. Ghemawat's four distances turn "foreign markets are harder" into four separable, partially addressable problems, each with its own remedies. The framework's durability in practice, it long predates and largely anticipates how much later work treats institutional and cultural distance, reflects that it decomposed something the literature had been carrying as a single undifferentiated term.

They establish that persistence of disagreement is itself evidence. Arregle's review is not a report that more work is needed. Two hundred and twenty studies is not too few. A literature that remains incompatible at that volume is signalling a problem upstream of any individual study, which is the reading these four papers, taken together, support.

3. Limitations

Measurement is the through-line, and the papers themselves supply most of the evidence for the critique.

The dependent and independent variables are unstable across the literature. "Degree of internationalization" is operationalised as foreign sales ratio, foreign assets ratio, number of countries, entropy measures, and the transnationality index, among others. The visible shape of the relationship depends materially on which is chosen. Contractor concedes the consequence directly: contradictory findings arise partly from sampling different segments of one curve, which makes some portion of a thirty-year disagreement artefactual rather than substantive.

Aggregate performance measures cannot isolate what the theory is about. This is Mezias's own argument, and it is a limitation on nearly everything else in the module. His solution is real but narrow: labour lawsuit judgments isolate labour-related disadvantage in a specific national legal environment. The measure travels poorly. A jurisdiction without comparable employment litigation would leave the same underlying liability entirely invisible.

Survivorship shapes the samples. Firms that internationalized and failed exit before they can be observed. Stage 3 is therefore estimated from firms that survived their own over-expansion, which biases the estimate of what over-expansion costs, toward optimism.

Endogeneity is not resolved. Profitable firms have the slack to internationalize. Any measured association between multinationality and performance carries an unknown share of reverse causation, and none of these designs fully separates the two.

Each study is bounded in ways that limit generalisation. Contractor's sample is service-sector firms in a particular period. Mezias's is three home countries in one host country. Ghemawat's

evidence is illustrative cases rather than systematic testing, CAGE is a framework offered for its usefulness, not a tested model. Arregle synthesises a literature whose primary studies carry all of the above.

The strongest limitation is the one the module states about itself. Arregle's finding is that after 220 studies the results remain incompatible. If measurement heterogeneity explains the disagreement, then the field's problem is methodological rather than theoretical, and adding studies without resolving the measurement question will not converge the literature.

4. Connections

Forward, to entry mode choice. If Stage 1 is genuinely negative, then entry mode is a decision about how much of that early cost to absorb at once and how much to share or defer. Joint ventures, licensing and wholly owned subsidiaries distribute the Stage 1 penalty differently. That reframes the entry mode literature as being partly about position on the curve rather than only about transaction costs and control.

Forward, to institutions, culture and local adaptation. Ghemawat's CAGE is a pre-Hofstede, pre-GLOBE way of saying what that session says with formal cultural and institutional distance measures. Reading them in sequence shows a construct being progressively formalised, and raises the question of whether formalisation improved the measurement or merely made it look more precise.

Back, to the foundations session. Rugman and Verbeke's firm-specific advantages are what carry a firm through Stage 1 at all. Without them there is no mechanism by which the curve ever turns positive, and the sigmoid becomes a description rather than an explanation.

Across the module. Sumit K. Kundu of FIU is an author on both Contractor (2003) and Arregle (2021), the same performance question, eighteen years apart, still unresolved. That continuity is worth naming: it is not that the question was abandoned, it is that it resisted.

To my own work. My dissertation examines auditor judgment when an AI system produces a conclusion before the auditor has formed one. My qualifying study specified an eleven-construct model with fifty-five items and could not be fielded: applying the eligibility criteria to a research panel of 334,976 members returned roughly twenty eligible respondents. I read that as a recruitment failure for some time. This module suggests a second reading. A literature that cannot converge because it cannot agree on a measure has a methods problem rather than a theory problem, and a construct that cannot be reached at the scale its instrument requires may be telling me something about the construct, not only about the panel. Contractor's diagnosis and my own are the same diagnosis at different scales.

Back, to my prior DBA coursework. In GEB 7913, the DBA Summer Research Project, my qualifying study learned the same lesson the hard way: the measure I could field shaped what I could conclude, which is the pattern these four papers trace across two decades of internationalization research.

5. What Follows for Research Design

The four papers converge on a claim about method that is worth stating separately from the substantive findings, because it is the part that transfers.

Measurement choice is a theoretical act. Mezias is the clearest demonstration. He does not improve the measurement of firm performance; he abandons it for a measure selected to isolate one construct rather than to summarise many. The finding exists only because of that choice. A

study that had used better performance data would have produced a better version of the same uninterpretable number.

Operationalisation determines the visible shape of a relationship. "Degree of internationalization" appears in this literature as foreign sales ratio, foreign assets ratio, country count, entropy measures, and the transnationality index. Contractor's contribution is not only that the relationship is sigmoid but that the field's disagreement about its shape was, in part, a disagreement about where each study happened to sample. Neither of those is a substantive finding about firms.

Volume does not resolve a measurement problem. Arregle's review makes this unusually concrete: 220 studies over three decades, and the authors' own summary is that findings remain "varied and at times incompatible." If accumulation were sufficient, thirty years would have been enough.

A framework can be useful without being a measure. Ghemawat's CAGE is not tested in the article; it is offered because it decomposes something practitioners were treating as a single term. Its durability suggests that naming the parts of a construct can be a contribution in itself, but it also means CAGE inherits the measurement problem rather than solving it. How much cultural distance, measured how, remains open.

The through-line, stated as a design rule. Before asking whether a relationship holds, ask what the available measure can and cannot isolate. Every one of these four papers made progress at the point where someone stopped collecting more of the same thing and changed what was being measured.

6. Limitations of This Reading

This write-up argues that four papers share one diagnosis. That framing is mine, and it has costs worth naming.

It flattens genuine differences in purpose. Contractor and Mezias are empirical papers testing specific claims; Ghemawat is a practitioner framework; Arregle is a systematic review. Treating them as four instances of one problem risks implying they were attempting the same thing.

It is also, by construction, unfalsifiable in the form stated. "The field measured the wrong thing" can be said of almost any literature that has not yet converged. The reading only earns its keep where the papers say so themselves, which they do here, in Contractor's account of sampling segments, in Mezias's justification for abandoning performance measures, and in Arregle's own summary of incompatible findings. Where the papers do not say it, I have not claimed it.

Appendices

Appendices A through D sit outside the ten-page body, per the assignment brief.

Appendix A · Comparison of the Four Studies

	Contractor et al. (2003)	**Mezias (2002)**	**Ghemawat (2001)**	**Arregle et al. (2021)**
Type	Empirical, theory-building	Empirical, matched-pair	Practitioner framework	Systematic review
Sample	US service-sector MNEs	486 foreign + 486 US firms	Cases, incl. Star TV	220 studies, 30 years
Measure	Multiple DOI measures	Labour lawsuit judgments	CAGE distance	Synthesis
Claim	M–P is sigmoid, three stages	LOF is isolable and measurable	Distance is four things	Findings remain incompatible
Conditioned on	Stage position, sector type	Staffing, autonomy, age	Distance type	Family ownership

Appendix B · Verification of Quoted Material

Every quotation and reported figure in this write-up was checked against the source PDF on 26 August 2026. None is paraphrased and presented as a quotation.

Claim	**Source**	**Page**
"Depending on which part of Figure 1 we examined…"	Contractor, Kundu & Hsu (2003)	7
"Few companies possess the managerial tools…"	Contractor, Kundu & Hsu (2003)	11
Knowledge-based vs capital-intensive; lower fixed capital burden	Contractor, Kundu & Hsu (2003)	9
"While most performance measures aggregate advantages and disadvantages…"	Mezias (2002)	231
486 foreign subsidiaries vs 486 US firms, same industries and cities	Mezias (2002)	229–231
78.9% / 70.0% / 58.4%; award exceeded $600,000; fees ~$100,000	Mezias (2002)	232

"It ignores the costs and risks of doing business in a new market."	Ghemawat (2001)	2
$825m paid 1993–95; FY1999 loss $141m on revenue $111m; ~$500m FY1996–99	Ghemawat (2001)	2
"Ignoring cultural distance was one of Star TV's biggest mistakes."	Ghemawat (2001)	4
"varied and at times incompatible findings"	Arregle et al. (2021)	abstract
Seven themes with shares; performance 12%	Arregle et al. (2021)	6

Appendix C · References

Arregle, J.-L., Chirico, F., Kano, L., Kundu, S. K., Majocchi, A., & Schulze, W. S. (2021). Family firm internationalization: Past research and an agenda for the future. *Journal of International Business Studies, 52*, 1159–1198.

Contractor, F. J., Kundu, S. K., & Hsu, C.-C. (2003). A three-stage theory of international expansion: The link between multinationality and performance in the service sector. *Journal of International Business Studies, 34*(1), 5–18.

Ghemawat, P. (2001). Distance still matters: The hard reality of global expansion. *Harvard Business Review, 79*(8), 137–147.

Mezias, J. M. (2002). Identifying liabilities of foreignness and strategies to minimize their effects: The case of labor lawsuit judgments in the United States. *Strategic Management Journal, 23*(3), 229–244.

Appendix D · Disclosure of Artificial Intelligence Use

Per the FIU University Graduate School *Guidelines for the Use of AI in Graduate Research, Theses, and Dissertations*:

Generative artificial intelligence (Claude, Anthropic) was used in preparing this write-up for organisation, structure, and language: outlining the four-paper comparison, formatting the two tables, and checking quoted passages and reported figures against the source PDFs. Every quotation and numeric figure in this document was verified against the original article, as recorded in Appendix B. The reading of the papers, the comparative argument, and all interpretation and conclusions are my own. No confidential, identifiable, or restricted data was provided to any artificial intelligence system.

BEFORE SUBMITTING: CHECK THE AI SECTION OF THE CURRENT GEB 7365 SYLLABUS ON CANVAS (ADDED 20 AUGUST). IF IT REQUIRES A DIFFERENT DISCLOSURE FORMAT OR A PERCENTAGE, EDIT THE PARAGRAPH ABOVE TO MATCH. OTHERWISE DELETE THIS LINE AND SUBMIT.